

Mandatory Risk Management & 1:2 Risk-to-Reward Rule

Golden Rule of Risk Management

Never enter any trade setup unless the potential reward is AT LEAST twice the potential risk.

$$\text{Risk-to-Reward Ratio} = \frac{\text{Take Profit Distance}}{\text{Stop Loss Distance}} \geq 2.0$$

Self-Critique & Reflection Directive

If an agent generates a Buy or Sell signal where the calculated Take-Profit distance divided by Stop-Loss distance is less than 1.5, the signal MUST BE REJECTED or modified to meet the strict 1:2 ratio requirement.